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MIDTERM EXAMINATION
Spring 2009
ACC501- Business Finance (Session - 1)

Question No: 1 (Marks: 1) - Please choose one

The _____ debt a firm has (as a percentage of assets); the _____ is the degree of financial leverage.

- ► More; greater
- ► Less; greater
- ► More; lower
- ► None of the given options

Question No: 2 (Marks: 1) - Please choose one

Which of following is(are) the non-cash item(s)?

- ► Depreciation
- ► Deferred Tax
- ► Both depreciation and deferred tax
- ► Neither depreciation nor deferred tax

Question No: 3 (Marks: 1) - Please choose one

Which of the following is the extra rate you would pay if you earn one more dollar?

- ► None of the given options
- ► Average Tax Rate
- ► Marginal Tax Rate
- ► Flat Tax Rate

Question No: 4 (Marks: 1) - Please choose one

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Which of the following is **NOT** an investing cash flow?

- ► Proceeds from the sale of a retired asset
- ► Purchase of a delivery vehicle
- ► Sale of machinery
- ► Purchase of inventories

Question No: 5 (Marks: 1) - Please choose one

The balance sheet reported a beginning balance of Rs. 23,000 in Accounts Receivable and an ending balance of Rs. 16,000. The income statement reported Sales Revenue of Rs. 230,000. Using this information, what will be the amount of cash collected from customers?

- ► Rs. 269,000
- ► Rs. 253,000
- ► Rs. 237,000
- ► Rs. 230,000

Question No: 6 (Marks: 1) - Please choose one

What would be the amount of current assets for a company which has a current ratio of 4:1 and net working capital of Rs. 30,000?

- ► Rs. 6,000
- ► Rs. 10,000
- ► Rs. 24,000
- ► Rs. 40,000

Question No: 7 (Marks: 1) - Please choose one

Which of the following is(are) **TRUE** regarding Du Pont Identity?

► The decomposition of ROE is a convenient way of systematically approaching the financial statements analysis

► Du Pont identity tells you where to start looking for the reasons if ROE is unsatisfactory by some measure.

► The Du Pont identity tells us that ROE is affected by three things i.e. operating efficiency, asset use efficiency and financial Leverage.

► All of the given options

Question No: 8 (Marks: 1) - Please choose one

The present value of a sum of Rs. 100 to be received in the future will be:

► Less than Rs. 100

► None of the given options

► More than Rs. 100

► Equal to Rs. 100

Question No: 9 (Marks: 1) - Please choose one

You just won a prize, you can either receive Rs. 950 today or Rs. 1,000 in one year. Which option do you prefer and why if you can earn 8 percent on your money?

► Rs. 950 because it has the higher future value

► Rs. 950 because you receive it sooner

► Rs. 1,000 because it is more than Rs. 950

► Either because both options are of equal value

Question No: 10 (Marks: 1) - Please choose one

Which one of the following is a correct formula to calculate present value of annuity?

► PV_t = P x (1 – Present value factor) / r

► PV_t = P x (1 – Future value factor) / r

► PV_t = P x (Present value factor – 1) / r

► PV_t = P x (Future value factor – 1) / r

Question No: 11 (Marks: 1) - Please choose one

What will be the annual payment on a 6-year Rs. 14,000 loan that carries a 7% interest rate?

► Rs. 2,816

► Rs. 2,937

► Rs. 3,088

► Rs. 3,277

Question No: 12 (Marks: 1) - Please choose one

How much must be deposited at 15% each of the next 7 years to have Rs. 4,565?

► Rs. 452.75

► Rs. 570.50

► Rs. 350.20

► Rs. 412.50

Question No: 13 (Marks: 1) - Please choose one

Which of the following is a special case of annuity, where the stream of cash flows continues forever?

► Special Annuity

► Ordinary Annuity

► Annuity Due

► Perpetuity

Question No: 14 (Marks: 1) - Please choose one

Which of the following represent(s) a loan made by the investors to the issuer?

► Bond

► Common Stock

► Preferred Stock

► All of the given options

Question No: 15 (Marks: 1) - Please choose one

Which one of the following statements is INCORRECT regarding a bond?

► A bond is an evidence of debt issued by a corporation or a governmental body.

► A bondholder has a part of ownership in the firm.

► A bond represents a loan made by investors to the issuer.

► When a corporation wishes to borrow from public on a long term basis, it does so by issuing or selling bonds.

Question No: 16 (Marks: 1) - Please choose one

A bond’s value will rise above its par value during its life if interest rate:

► Goes up

► Goes down

► Remains the same

► There is no relation between value and interest rate

Question No: 17 (Marks: 1) - Please choose one

When the market's required rate of return for a particular bond is much higher than its coupon rate, the bond is selling at:

► Premium

► Discount

► Par

► Cannot be determined without more information

Question No: 18 (Marks: 1) - Please choose one

Given two bonds identical but for maturity, the price of the longer-term bond will change _____ that of the shorter-term bond, for a given change in market interest rates.

► More than

► Less than

► Equal to

► None of the given options

Question No: 19 (Marks: 1) - Please choose one

Between the two identical bonds having different coupon, the price of the _____ bond will change more than that of _____ bond.

► Higher-coupon; lower-coupon

► Lower-coupon; higher-coupon

► Short-term; long-term

► None of the given options

Question No: 20 (Marks: 1) - Please choose one

Which of the following term refers to a contract between the bond issuer and bondholders?

► Bond debenture

► Bond indenture

► Bond contract

► Bond yield

Question No: 21 (Marks: 1) - Please choose one

Corporate bonds usually have a face value of Rs. 1,000 which is called:

► Principal value

► Coupon payments

► Yield to maturity

► Current yield

Question No: 22 (Marks: 1) - Please choose one

Which of the following allows a company to repurchase part or all of the bond issue at a stated price?

► Repayment

► Seniority

► Call provision

► Protective covenants

Question No: 23 (Marks: 1) - Please choose one

Which of the following long-term rating by PACRA denotes a high default risk?

► AAA

► BBB

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► CCC

► CC

Question No: 24 (Marks: 1) - Please choose one

Which one of the following statements is INCORRECT regarding floating-rate bond?

► Holder of this type of bond has the right to redeem the note at par on the coupon payment date after some specified period of time.

► Coupon rate has a floor and a ceiling i.e. coupon is subjected to a minimum and a maximum.

► An interesting type of floating rate bonds is an Inflation-linked bond.

► Such bonds have coupons that need not be adjusted according to the rate of inflation.

Question No: 25 (Marks: 1) - Please choose one

When real rate is _____, all interest rates will tend to be _____.

► Low; higher

► High; lower

► High; higher

► None of the given options

Question No: 26 (Marks: 1) - Please choose one

The portion of profit, which a company distributes among its shareholders, is known as:

► Dividends

► Retained Earnings

► Capital Gain

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► Interest Income

Question No: 27 (Marks: 1) - Please choose one

Which of the following is **NOT** dealt by a controller under the head of a CFO?

► Tax Management

► Data Processing

► Credit Management

► Financial Accounting

Question No: 28 (Marks: 1) - Please choose one

Product costs do **NOT** include which of the following?

► Raw material

► Direct labor

► Manufacturing overhead

► Administrative expenses

Question No: 29 (Marks: 1) - Please choose one

Which one of the following ratios indicates the return firm shareholders are earning?

► Return on assets

► Return on investment

► Return on equity

► Net profit margin

Question No: 30 (Marks: 1) - Please choose one

Which one of the following is a **CORRECT** statement about the Price-Earning

Ratio?

► A high PE ratio generally means a firm has little prospect for future.

► A firm with high earning per share will also have a very high PE ratio.

► Care must be taken in interpreting very high PE ratios since they can result from a firm having very low earnings.

► A firm with high earnings per share will also have a very high PE ratio.

Question No: 31 (Marks: 5)

What will be the real rate if:
(a) the nominal rate is 15% and the inflation rate is 6%
(b) the nominal rate is 12% and the inflation rate is 5%

Question No: 32 (Marks: 10)

Cash inflows of two projects A and B are given below. Assume that all cash flows are received at the end of the period.

Period	Project A	Project B
1	Rs. 10,000	Rs. 5,000
2	Rs. 15,000	Rs. 12,000
3	Rs. 20,000	Rs. 25,000
4	Rs. 35,000	Rs. 30,000
5	Rs. 40,000	Rs. 35,000

Required :

(i) Calculate the Present Value of cash flow stream of project A if there is a discount rate of 12%.

(ii) Compute the Future Value of cash flow stream of project B at the end of year 5 with a compound annual interest rate of 10%.

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